

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2021-006069

BETWEEN:

SUNRISE HOSPITALITY GROUP LTD

Appellant

- and -

GRANT MORRISON & CO LLP

Respondent

APPELLANT'S SKELETON ARGUMENT

A. INTRODUCTION

1. The Appellant claims damages for professional negligence arising from the Respondent's failure to identify material errors in the accounts of a target company, upon which the Appellant relied in making an acquisition that proved to be significantly overvalued.

B. RELEVANT FACTS

2. The Appellant engaged the Respondent to conduct financial due diligence on Prestige Hotels Ltd.
3. The Respondent provided a due diligence report in February 2021 confirming EBITDA of £4.2 million.
4. The Appellant purchased Prestige Hotels for £28 million in reliance on the due diligence report.
5. Post-acquisition investigation revealed that EBITDA had been materially overstated by £1.8 million.
6. The overstatement resulted from fictitious revenue entries and understated liabilities that should have been detected.

C. LEGAL FRAMEWORK

7. The relevant statutory provisions are:
 - Limitation Act 1980
 - Civil Liability (Contribution) Act 1978

D. SUBMISSIONS

8. The Respondent owed a duty of care in preparing the due diligence report.
9. A reasonably competent accountant would have detected the irregularities.
10. The Appellant relied on the report and suffered loss as a result of its inaccuracy.
11. The loss is within the scope of the Respondent's duty.

E. AUTHORITIES

12. The following authorities are relied upon:

- Caparo Industries Plc v Dickman [1990] 2 AC 605
- ADT Ltd v BDO Binder Hamlyn [1996] BCC 808
- Moore Stephens (a firm) v Stone Rolls Ltd [2009] UKHL 39

F. RELIEF SOUGHT

13. The Appellant respectfully requests that this Court:

- Damages representing the difference between price paid and true value
- Consequential losses
- Interest and costs

David Clarke KC

Emma Thompson

2 February 2021

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